Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

Energy and renewables

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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— Executive summary

Ethiopia had 9,761 MW of installed generating capacity in 2025, more than 95% of it renewable, and targets up to 14,000 MW by 2030, including the 5,150 MW Grand Ethiopian Renaissance Dam. The government's National Energy Compact calls for at least US$3.06 billion of private investment in 2026 to 2030, with solar, wind and off-grid power open to independent power producers. Tariffs are being raised toward full cost recovery by 2028, and power exports to neighboring countries earned 366 million USD in the first nine months of the current fiscal year.

INSTALLED GENERATING CAPACITY
9,761 MW (hydro 9,212 MW, wind 524 MW, waste-to-energy 25 MW)

GRAND ETHIOPIAN RENAISSANCE DAM (GERD) CAPACITY
5,150 MW; about 15,760 GWh average annual energy

HOUSEHOLD ELECTRICITY ACCESS (ANY SOURCE)
65% (29.3% grid, 35.7% off-grid)

2030 CAPACITY TARGET
Up to 14,000 MW; non-hydro share from about 5.6% to at least 15%

01 Key indicators

Indicator	Value	Period
Installed generating capacity	**9,761 MW (hydro 9,212 MW, wind 524 MW, waste-to-energy 25 MW)**	2025
Grand Ethiopian Renaissance Dam (GERD) capacity	**5,150 MW; about 15,760 GWh average annual energy**	As stated in January 2026 brief
Household electricity access (any source)	**65% (29.3% grid, 35.7% off-grid)**	January 2025
2030 capacity target	**Up to 14,000 MW; non-hydro share from about 5.6% to at least 15%**	2030 target
Total investment need, of which private	**US$9,646.04 million total; US$3,061.8 million private**	2026-2030
Electricity exports	**1,671 GWh**	2024
Electricity export revenue	**366 million USD, up 138 million USD from the previous year**	First nine months of the current fiscal year (reported 2026-05-02)
Utility cost recovery (OPEX plus debt service)	**Below 60%; target 100% by 2028**	Baseline 2025; target 2028

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02 Returns and yields

Measure	Value	Period	Basis
Financial internal rate of return, Eastern Ethiopia Electricity Grid Reinforcement Project	**27.1% (base case); FNPV USD 695 million at 9% discount rate**	Appraisal 2023	AfDB project-level financial IRR of a public transmission project, computed by AfDB using a current average bulk tariff of USD 0.045/kWh
Average bulk electricity tariff	**USD 0.045/kWh**	2023 (appraisal)	Bulk tariff used by AfDB in the project financial analysis
Electricity export sale price	**US cents 5.0 to 6.5 per kWh**	2022	Price at which Ethiopia's 2022 power exports were sold, as reported by AfDB
Average local retail tariff vs production cost	**US cents 3/kWh tariff vs estimated production cost of US cents 3.2/kWh**	2023 (appraisal)	AfDB statement that the local average tariff is low and insufficient to cover costs
Economic IRR, Geothermal Sector Development Project (Aluto)	**30% at appraisal; 8% at completion (14% for appraisal adjusted for a three-year delay)**	ICR dated 2024-07-18	World Bank economic (not financial or equity) IRR for the public geothermal project
91-day Treasury bill weighted average yield (benchmark)	**12.4 percent (from 15.2 percent in February 2025)**	February 2026	National Bank of Ethiopia risk-free benchmark, not a sector return

No international institution or Ethiopian government source we reviewed publishes an average return on investment or a private IPP equity return for this sector; the figures above are project-level IRRs from AfDB and World Bank appraisal and completion documents, published tariff and export price levels, and the Treasury bill benchmark.

03 Investment opportunities

- **Solar and wind IPPs.** A 225 MW solar IPP/PPP is in procurement, and 802 MW of wind and 625 MW of solar are listed as unfunded projects seeking finance.
- **Aysha I wind farm.** The 300 MW Aisha 1 wind project has a signed PPA with AMEA and is awaiting financial close.
- **Off-grid and last-mile access.** About 9.23 million connections are targeted by 2030, leaving a gap of 6.25 million (about 1.25 million per year) beyond existing programs, with 30% of 2030 access planned off-grid.
- **Regional power trade.** Exports of about 1,500 GWh/year are targeted to exceed 5,000 GWh/year by 2030, with PPAs to be finalized with South Sudan and Somalia.

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- **Geothermal development.** Geothermal potential is about 10 GW with less than 1% exploited so far, and the Aluto-Langano expansion, Corbetti and Tulu Moye projects are still to be advanced.

04 Incentives

- The Compact offers currency risk mitigation through MIGA and IDA guarantees, blended finance and results-based financing, standardized PPA models and an IPP helpdesk at the Ministry of Finance.
- Investment Proclamation 1180/2020 encourages IPPs through long-term PPAs and standardized renewable auctions, and allows private investors to develop off-grid solar, small hydro, wind, biomass and hybrid systems.
- The World Bank approved a US$400 million IDA credit plus a US$24 million Denmark grant for the ASCENT program, which seeks to incentivize private sector participation in electricity access.

05 Points to consider

- Project and payment factors: the government and World Bank name IPP timelines, offtaker payment, foreign exchange availability, tariff levels and hydrology as factors to manage; the Compact responds with MIGA and IDA guarantees, standardized PPAs and an IPP helpdesk (see incentives).
- Utility finances: tariffs are below cost recovery, technical and commercial losses exceed 20%, and metering coverage is below 10%; the Compact targets 100% cost recovery by 2028.
- Geothermal resource confirmation: the World Bank-financed Aluto project confirmed 28.6 MW against 70 MW planned at appraisal and did not mobilize private capital, so resource confirmation is a key early-stage step.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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